

**Time:** 5 minutes**Outcome:** Interpret PPF points, slopes, shifts, efficiency, growth, and opportunity cost.**Difficulty:** ●●○ Intermediate

Production Possibilities Frontier (PPF)



THE CORE IDEA

A production possibilities frontier shows the combinations of two goods an economy can produce with its current resources and technology. A bowed-out PPF shows increasing opportunity cost: specialized resources become less well suited as production shifts toward the other good. Points inside indicate unused capacity; points outside are currently infeasible.



HOW TO RECOGNIZE IT

- Points on the frontier use current resources efficiently; inside points leave capacity unused.
- Using idle resources changes the production point, while resources or technology shift the frontier.
- A bowed-out frontier indicates increasing opportunity cost.

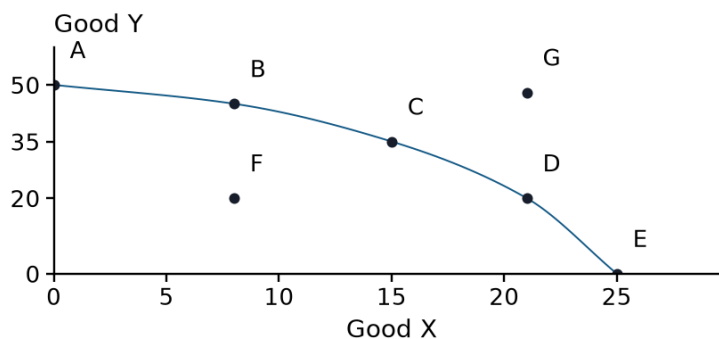


WATCH OUT

Moving from inside to the frontier uses idle capacity. Moving the frontier outward requires more resources or better technology.



WORKED EXAMPLE: READING A PPF



On the PPF, moving from point C (15 units of X and 35 of Y) to point D (21 of X and 20 of Y) gains 6 units of X but gives up 15 units of Y. The total opportunity cost is 15 units of Y, or $15/6 = 2.5$ units of Y per additional unit of X.



CHECK YOURSELF

Does moving along a PPF represent economic growth?

**READY?**

Return to the game and master this concept.